India–Lebanon: Building Bridges, Shaping Futures

Foreword

Lebanon occupies a distinctive position on the eastern shore of the Mediterranean, where for millennia traders, bankers, scholars and travellers have connected the Levant, the Gulf, Europe and Africa. With a resident population of around five and a half million, a diaspora several times larger, and an economy rooted in trade, services, tourism, education, food and light industry, Lebanon has long offered India a gateway to a wider region. At the same time, since 2019 Lebanon has endured one of the most severe economic and financial crises of modern times, compounded by the 2020 Beirut port explosion and the conflicts of 2023-2024 and 2026. An impaired banking system, constrained public finances, damaged infrastructure and security uncertainty are practical realities that must be carefully weighed when assessing commercial opportunities.

India and Lebanon share a relationship built on diplomatic ties established in 1954, more than a quarter of a century of Indian peacekeeping service in southern Lebanon, decades of technical cooperation and a warm cultural affinity. Bilateral economic engagement has scope to grow beyond its current concentration into pharmaceuticals and healthcare, food and agro-processing, solar and power equipment, construction inputs and engineering, vehicles and machinery, information technology, education, gems and jewellery, textiles and tourism. India's competitive strengths in affordable medicines, food, engineering, renewable energy, digital services and training complement Lebanon's needs for essential supplies and its coming reconstruction, while Lebanon's trading networks, professionals and diaspora complement India's ambitions in West Asia, Africa and beyond.

This knowledge paper has been prepared by CCI India to help Indian businesses, institutions and policymakers make informed, practical and risk-aware decisions about engagement with Lebanon. It sets out sector opportunities, regulatory and financial considerations, risk-management practices and an action agenda for 2026-2030. Information reflects conditions as of October 2026, which remain fluid, and readers should verify current developments and obtain professional advice before committing resources.



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LEBANON

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Basic Facts, Population, and Currency

Lebanon, officially the Lebanese Republic, is a country in Western Asia known for its historical significance and unique geopolitical position. The country is recognized for its diverse cultural landscape. As of recent estimates (2020), Lebanon's Population is around 6.8 million.2 The official Currency of Lebanon is the Lebanese Pound (LBP), Although the country has experienced a severe financial crisis leading to multiple exchange rates and significant reliance on the US dollar for transactions.

Economy and GDP

Lebanon's **Economy** is historically characterized as a free-market, service-oriented economy with minimal government intervention, often referred to as a regional financial and commercial center. The major sectors driving the economy have traditionally been **banking, tourism, real estate, and construction**, with services accounting for a large percentage of its GDP (estimated at 83% in 2017). However, the economy has faced immense challenges, particularly since 2019, due to a severe financial and political crisis, which has led to a major contraction. The **GDP** (nominal) was estimated at around **US$21.7 billion** in 2022.

Economic Ties Beyond Trade

Economic relations are reinforced by the presence of an Indian Army Battalion (INDBATT) as part of the UN Interim Force in Lebanon (UNIFIL) since 1998, which fosters goodwill and stability. India also offers training slots to Lebanese Government officials under the Indian Technical and Economic Cooperation (ITEC) programme. The Indian community in Lebanon, estimated at around 3,000 members, further contributes to bilateral ties through their employment in various sectors, including construction and services.



Culture & Heritage

Lebanon's Culture is a rich tapestry woven from diverse religious, ethnic, and historical influences, reflecting its position at the crossroads of the Mediterranean and the Arab world. It is known for its religious pluralism, with Christian and Muslim communities coexisting and contributing to a vibrant social fabric. This diversity is evident in its cuisine, arts, music, and social customs.

India-Lebanon Bilateral Trade and Economic Ties

India and Lebanon maintain cordial, decades-old diplomatic and economic relations, which were formally established in 1954.The Bilateral Trade volume is modest but shows potential for growth. For the fiscal year $2023-24$, the total bilateral trade was recorded at US$456 million (which is approximately **US$0.456 billion**).

- India's Exports to Lebanon (2023-24): US$344 million
- India's Imports from Lebanon (2023-24): US$112 million



India's Import/Export From Lebanon

India's export basket to Lebanon is diversified, reflecting India's manufacturing and services strength. Major products exported from India include:

1. .**Refined Petroleum** (often the top export in recent years)
2. **Diamonds** and precious stones.
3. **Pharmaceutical products** (Drug Formulations, Biologicals).
4. **Frozen Bovine Meat** and other food items like Rice (Basmati).
5. **Machinery** and parts (e.g., IC Engines and Parts).
6. **Electrical and Electronic Equipment** and **Chemicals**.

Cultural & People-To-People Links

Cultural ties between India and Lebanon are modest but meaningful:

- Interest in Indian cinema, cuisine, and culture
- Lebanese students pursuing higher education in India
- Shared engagement in multilateral forums

CONCLUSION & RECOMMENDATIONS

Lebanon remains a strategically located, service-oriented economy with strong historical trade and cultural linkages, but currently faces significant economic challenges. Key Takeaways:

- Lebanon's economy is recovering slowly from a deep financial crisis
- Trade with India remains steady, focused on essential goods

1. Lebanon: Economic Profile and Business Environment

1.1 Country overview

Lebanon is a small country on the eastern shore of the Mediterranean, bordered by Syria to the north and east and by Israel to the south. Its compact territory contains four distinct zones: a narrow coastal plain where most of the population and commerce are concentrated, the Mount Lebanon range, the fertile Beqaa Valley that forms the agricultural heartland, and the Anti-Lebanon range along the Syrian frontier. Beirut is the capital and the principal commercial, financial and cultural centre. Tripoli in the north, Sidon and Tyre in the south, and Zahle in the Beqaa are important regional centres with their own trading traditions.

The resident population is estimated at around 5.5 million, with a very large refugee presence that places heavy pressure on services and the labour market. The population is highly urbanised, young by regional standards, educated and multilingual. Arabic is the official language, while French and English are widely used in commerce, universities and the professions. Lebanon is classified as a lower-middle-income economy following the collapse in national income since 2019.

1.2 Structure of the economy

- **Services:** trade, finance, education, health, professional services and tourism account for the great majority of economic output and employment.
- **Trade and distribution:** a dense network of importers, wholesalers and traders serves the domestic market and, historically, regional re-export markets.
- **Agriculture and agro-food:** fruit, vegetables, olives, grapes and wine, dairy, herbs and processed foods, concentrated in the Beqaa, the south and Akkar.
- **Industry:** food and beverages, chemicals and cosmetics, metals, furniture, packaging, printing, pharmaceuticals packaging and jewellery.
- **Construction and real estate:** historically a major source of investment and employment, now depressed and facing a large reconstruction backlog.
- **Remittances and diaspora flows:** transfers from Lebanese abroad support household consumption and are a major source of foreign currency.

1.3 Regional role

Lebanon has long functioned as a commercial, banking and educational hub for the wider region. Its universities and hospitals served patients and students from across the Arab world, its banks intermediated Gulf and diaspora capital, and its traders built enduring commercial houses in West and Central Africa, Latin America and the Gulf. Beirut and Tripoli ports historically served as entry points for Syria, Iraq and Jordan. Although the crisis has reduced the intensity of these roles, the human networks, language skills and institutional memory behind them remain largely intact and could be reactivated as conditions improve.